overstated for investors when they exclude important fixed costs and overstate growth capital expenditures to make the business appear better than it is. This is directly akin to relying on the undemanding metric EBITDA compared to Graham's focus on "owner earnings."

The second reason is that the accounting often reflects front-loaded expenses while failing to match the duration required to get to a normalized state. This was the case with the cell tower industry, some "razor-razor blade" businesses, and certain retail and software businesses. American Tower was a breakeven business when it had an average of two tenants per cellphone tower, but adding a third tenant led to extremely attractive unit economics per tower and a compelling overall ROI. Similarly, Walmart did not generate earnings or cash flow for over a decade while they were growing, but a look at the store unit economics led to the true story and foreshadowed what the picture would look like in the future.

The goal is to get past management discussion or analyst reports and drill down into the business as if you were the owner. Then, and only then, can you begin connecting the dots.

KEEPING IT SIMPLE PRINCIPLE 2: FIND GOOD MANAGEMENT TEAMS

The importance of good management is almost universally underestimated, yet it is one of the most crucial determinants of a company's intrinsic value. As Graham and Dodd said, "You cannot make a quantitative deduction to allow for an unscrupulous management; the only way to deal with such situations is to avoid them." (Chap. 33) We must recognize that businesses are composed of individuals whose decisions and judgments set the metabolism for the entire enterprise. Many analysts seem inclined to assess the quality of management based on conventional marketplace narratives about a business. One must go deeper.